Generally Accepted Accounting Principles

- ✓ **GAAP** stands for **Generally Accepted Accounting Principles**.
- ✓ It refers to the **common set of accounting principles, concepts, rules, standards, and procedures** that are followed while **recording, classifying, summarising, and reporting financial transactions**.

In simple words:

- ✓ **GAAP is a set of generally accepted rules and guidelines that tell accountants how financial statements should be prepared and presented.**

GAAP Enforces Global Standards to Protect Investor Decisions

The Purpose and Scope of GAAP

Accounting is the language of global business. GAAP represents a consensus by the accounting profession regarding standard rules, procedures, and conventions necessary to measure financial presentations consistently.

- Investor Protection: Imposed on companies so that investors have a maximum level of consistency when analysing financial statements for investment decisions.
- Room for Distortion: GAAP is only a set of standards. There remains plenty of room for accountants to distort figures, requiring investors to continue to scrutinise statements.
- Avoidance of Chaos: Standard rules prevent chaotic conditions that would prevail if every accountant followed their own principles for measuring revenue and expenses.

Key Characteristics of Principles

✓ **Man-Made:** They have no universal natural authority (unlike the physical laws of physics or chemistry).

✓ **Evolutionary:** They are in a constant state of development rather than being a finished, static science.

✓ **Social Science:** They are the natural result of human economic and organizational phenomena.

✓ **Triple-Acceptance Filter:** General acceptance of any principle relies on three key criteria: Relevance, Objectivity, and Feasibility.

✓ **Relevance:** Must result in information that is useful and meaningful to those analyzing a business.

✓ **Objectivity:** Must produce unbiased information free from the personal opinion or bias of preparers.

✓ **Feasibility:** Must be applicable easily without introducing undue complexity or excessive administrative cost.

Concepts Govern Initial Accounts while Conventions Guide Final Reports

Accounting Concepts (Postulates)

Basic assumptions or conditions upon which the science of accounting is built. They primarily concern the maintenance and recording of accounts.

- **1. Business Entity Concept**
- **2. Money Measurement Concept**
- **3. Going Concern Concept**
- **4. Historical Cost Concept**
- **5. Dual Aspect Concept**
- **6. Accounting Period Concept**
- **7. Matching Concept**
- **8. Realisation Concept**
- **9. Objective Evidence Concept**
- **10. Accrual Concept**
- **11. Timelines Principle**

Accounting Conventions (Traditions)

Circumstances or traditions that guide accountants when preparing and presenting final financial statements (Profit & Loss and Balance Sheet).

✓ **I. Convention of Consistency:** Accounting rules and practices must be continuously adhered to from year to year to ensure horizontal and vertical comparability.

✓ **II. Convention of Full Disclosure:** All material facts of interest to proprietors, creditors, and investors must be honestly disclosed in the statements.

✓ **III. Convention of Conservatism:** Playing safe under uncertainty: 'Anticipate no profits, but provide for all possible losses' (e.g., lower of cost or market stock value).

✓ **IV. Convention of Materiality:** Only relatively important items influencing user decisions are disclosed separately; minor costs are expensed immediately.

Business Entity Concept

• Distinct Persona: Treat the business unit as separate and distinct from the proprietor(s) who supply capital. This applies to sole traders, partnerships, and companies alike.

• The Equation: Assets = Liabilities + Capital. This reflects that the business itself owns the assets and owes them to both external creditors and internal claimants (owners).

• Investment as Liability: If an owner invests ₹25,000 cash, it is a liability (the business owes it to the owner). Cash is debited, and Capital is credited.

• Drawings as Debit: Owner withdrawals of cash or stock for personal use are debited to drawings and credited to cash.

Money Measurement Concept

• Common Denominator: Money is the only practical unit of measurement that achieves homogeneity in financial records. Only events expressible in money terms are recorded.

• Major Limitations: (1) Ignores qualitative non-monetary facts (e.g., employee strikes or manager disputes). (2) Ignores inflation by assuming stable money values.

Asset Description	Physical Form	Monetary Value
Stock / Inventory	5,000 Tons	₹4,00,000
Vehicles / Machines	5 Cars / 7 Machines	₹3,65,000
Buildings & Land	5,000 sqm / 10 Acres	₹5,40,000
Cash, Bank, Debtors	Currency / Debts	₹80,000

Going Concern Assumes Longevity while Historical Cost Standardises Values

Going Concern Concept

• Presumed Perpetuity: Assumes the enterprise has a reasonable expectation of continuing operations indefinitely at a profit. It is not assumed to be in liquidation.

• Depreciation: Fixed assets are recorded at cost and depreciated systematically, without reference to fluctuating market-realisable values.

• Prepaid Costs: Prepaid expenses are counted as assets because the firm will continue to operate and utilise them in future periods.

When Going Concern is INVALID (Show Liquidation Value):

1. Enterprise was set up for a single specific purpose that is now achieved.
2. Company is formally declared a 'sick company' by the BIFR.
3. Enterprise is in a severe financial crisis and winding up is imminent.
4. A liquidator or receiver has been legally appointed to wind up the firm.

Historical Cost Concept

• Acquisition Value: An asset is recorded in the books at the exact purchase price paid to acquire it. This original cost forms the base for all subsequent depreciation.

• Advantage - Objectivity: Brings absolute objectivity to reporting. Records are completely verifiable and free from the personal opinions or bias of preparers.

Critical Drawbacks of Historical Cost:

• Secret Reserves: Possible to write assets off completely as depreciation while they remain active in the business (representing a ₹0 book value).

• Inflation Distortion: Adherence to historical cost fails to represent replacement costs during inflationary cycles, distorting depreciation ratios.

• No Human Asset Valuation: Completely fails to measure crucial non-cost assets like skills and teamwork, as noted by Glautier and Underdown.

Double-Entry Accounting Maintains Absolute Balance for Every Transaction

Dual Aspect

Every transactional event has a two-fold aspect: receiving a benefit and giving an equivalent benefit. Thus, every debit has an equivalent credit. This dual-aspect formulates the fundamental double-entry equation which remains the absolute backbone of accounting: Assets = Equities (or Liabilities + Capital).

Step 1: Capital Influx

Proprietor A provides ₹40,000 cash to set up the firm.

Equation State:

Assets: Cash ₹40,000
Capital: ₹40,000

Balance: ₹40,000 = ₹40,000

Step 2: Fixed Asset Purchase

Buys Machinery for ₹25,000 & Furniture for ₹5,000 in Cash.

Equation State:

Cash ₹10,000
Machinery ₹25,000
Furniture ₹5,000
Capital: ₹40,000

Balance: ₹40,000 = ₹40,000

Step 3: Credit Purchase

Buys Stock worth ₹8,000 on credit from suppliers.

Equation State:

Cash ₹10K | Stock ₹8K
Machinery ₹25K
Furniture ₹5K
Creditors ₹8K
Capital ₹40K

Balance: ₹48,000 = ₹48,000

Accounting Period Slices Business Life while Matching Pairs Revenue & Costs

Accounting Period Concept

• Segmenting Time: True net profit can only be known upon ultimate business liquidation, but stakeholders cannot wait. The continuous life of the firm is sliced into 1-year intervals.

• Capital vs. Revenue Expenditures: Directly based on this concept.

• Revenue Expenditures: Costs entirely consumed within the current reporting period (written off directly to the Profit & Loss Account to measure net income).

• Capital Expenditures: Expenditures that generate multi-period future benefits (carried to the Balance Sheet as assets to be systematically depreciated).

Matching Concept

• Cause-and-Effect matching: Periodic net profit represents the matching of efforts (expenses) with accomplishments (revenues). Expenses incurred to earn a period's revenue must be matched and charged in that same period.

Adjustments Required for Accurate Matching:

1. Prepaid Expenses: Excluded from current period costs; carried as assets.

2. Outstanding Expenses: Added to current period costs; recorded as current liabilities.

3. Non-Cash Costs: Periodic wear-and-tear (depreciation) of capital assets must be charged.

Exceptions & Hardships: Professionals (physicians, attorneys) use Cash Collection Basis—matching has little theoretical basis but is highly practical and tax-advantageous. Matching is difficult for multi-period costs (preliminary setup, massive marketing).

Realisation Records Earned Revenue while Accrual Decouples Cash Timing

January 1st: Order
Ranchi customer places order with Delhi manufacturer.
No Revenue Recognised

February 1st: Delivery
Delhi manufacturer delivers goods. Ownership transfers.
✓ Revenue Recognised

March 1st: Payment
Customer pays cash after credit period expires.
No Revenue Recognised

Realisation Concept

• Ownership Rule: Revenue is considered as being earned only on the date when it is realised—when property in goods passes to the buyer, making them legally liable to pay.

• Hire-Purchase Sales: Ownership does not pass until final installment. However, revenue is progressively recognised to the extent of installments due.

• Unrealised Gains: Distinction between holding gains (ignored) and operating gains (recorded). Holding gains (unrealised market appreciation) are excluded from books.

Accrual Concept

• Accrual Concept: The absolute essence is that revenue is recognised when realised, and costs are matched when incurred—regardless of whether cash is actually paid or received.

Basis	Accrual Concept	Realisation Concept
Main focus	Revenue **and expenses**	Mainly **revenue recognition**
Basic question	Which accounting period does this income/expense belong to?	When has the revenue been earned/realised enough to recognise it?
Revenue	Recognised when earned	Recognised when the earning process is sufficiently complete
Expenses	Recognised when incurred	Not its primary focus
Cash receipt	Not necessary for recognition	Not necessarily required if the right to receive consideration is established

Objective Evidence Concept:

Every transaction must be based on objectively determined evidence (vouchers, invoices, bank statements) that are capable of verification.

- Estimation Guard: Necessary estimates (e.g., Provision for Doubtful Debts) must be based on objective parameters (past historical experience and reliable economic forecasts).

Consistency Enables Comparisons while Full Disclosure Unveils All Facts

Convention of Consistency

• Once an accounting method or policy is adopted, it should be followed consistently from one accounting period to another, unless there is a valid reason for changing it.

Example

Suppose a company uses the **Straight-Line Method (SLM)** to calculate depreciation on its machinery.

- 2025 → SLM used
- 2026 → SLM used
- 2027 → SLM used

This makes the company's depreciation expense and profit **comparable across years**.

If the company changes to the **Written Down Value (WDV) Method** without a valid reason, the profit figures may become difficult to compare.

Convention of Full Disclosure

• All material and relevant information relating to the financial statements should be disclosed so that users can properly understand and evaluate the financial position and performance of the business.

- A business should not hide important information that could influence the decisions of investors, creditors, management, or other users of financial statements. However, full disclosure does not mean disclosing every tiny detail. The focus is on material and relevant information.

Prudence Mitigates Overoptimism While Materiality Rules Significant Expenses

Convention of Conservatism (Prudence)

Playing safe under conditions of uncertainty: "Anticipate no profits, but provide for all possible losses."

When there is uncertainty in accounting, expected losses should be recognised, but expected profits should not be recognised until they are reasonably certain.

Convention of Materiality

- Materiality means "importance or significance."
- Accounting information that is significant enough to influence the decisions of users should be separately recognised, presented, or disclosed as appropriate.

The Statutory 1% Rule (Companies Act 1956):

Part II of Schedule VI states any item of expense which exceeds 1% of total revenue or ₹5,000 (whichever is higher) must be shown as a separate and distinct item against an appropriate head in the Profit & Loss statement.